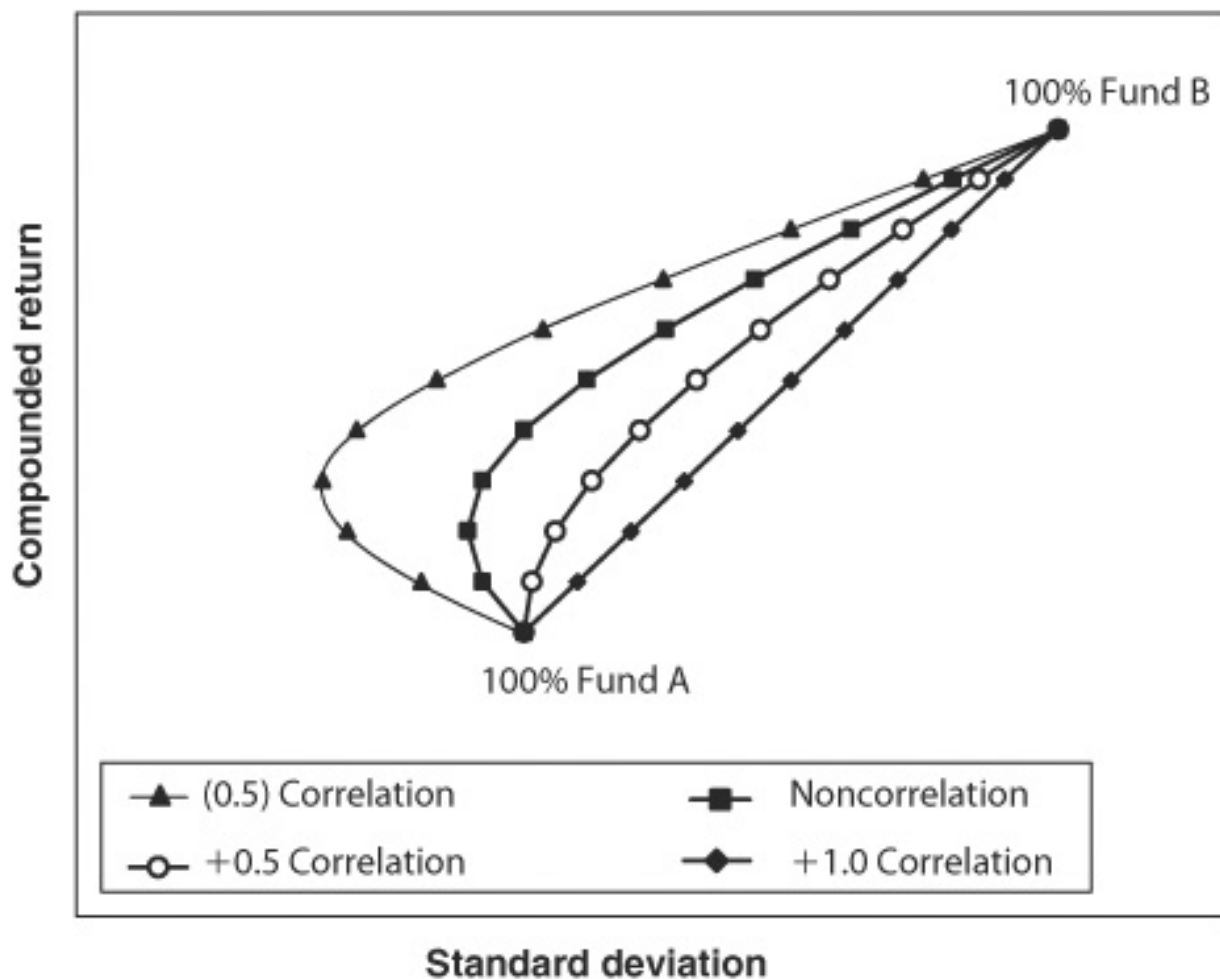


Developing a portfolio that holds assets that have negative correlation or noncorrelation with one another is very beneficial. The problem is finding those investments. They are rare. Just when you think you may have found a good noncorrelating investment, something changes and the investment becomes positively correlated. You will see many charts and tables throughout this book showing the correlations of investments shifting rapidly and without explanation.

FIGURE 3-5

Lower Correlation between Investments Reduces Risk



Since it is so difficult to find investments that are negatively correlated, in practice most portfolios are composed of investments that either are noncorrelated or have a low positive correlation with one another. Asset